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Case Number: 26STCV09748 Hearing Date: September 2, 2026 Dept: 408

1.

Defendants Jeannette K. Witten and Gavin E.

Kogan's Motion

to Compel Arbitration and Stay Proceedings is GRANTED.

2.

Defendants Jeannette K. Witten and Gavin E.

Kogan's Special Motion to Strike is DENIED as moot.

3.

I.

BACKGROUND

On March

26, 2026, Plaintiff Trinity Alps Farms, Inc. ("Plaintiff") filed a complaint against Defendants Hudson Martin PC ("Hudson") and Gavin E. Kogan ("Kogan") alleging causes of action for:

1. Professional Negligence; and

2. Breach of Fiduciary Duty.

On May

5, 2026, Plaintiff filed a First Amended Complaint ("FAC") against Defendants Hudson, Kogan, Jeannette K. Witten ("Witten"), and John Michael ("Michael", collectively "Defendants") alleging causes of action for:

1.

Professional

Negligence (Legal Malpractice);

2.

Breach of

Fiduciary Duty;

3.

Breach of

Contract (Fee Agreement);

4.

Constructive

Fraud; and

5.

Accounting.

On June 25, 2026, Witten and Kogan (“Moving Defendants”) filed this Motion to Compel Arbitration and Stay Proceedings. On August 20, 2026, Plaintiff filed an opposition. On August 26, 2026, Moving Defendants filed a reply.

On July 27, 2026, Moving Defendants filed this Special Motion to Strike pursuant to Code of Civil Procedure section 425.16 (“Anti-SLAPP Motion”). On August 20, 2026, Plaintiff filed an opposition. On August 26, 2026, Moving Defendants filed a reply.

II.

MOTION TO COMPEL ARBITRATION
AND STAY PROCEEDINGS

A. Legal

Standard

“On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate that controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines

that an agreement to arbitrate the controversy exists, unless it determines that: (a) The right to compel arbitration has been waived by the petitioner; or (b) Grounds exist for rescission of the agreement.” (Code Civ. Proc., § 1281.2, subd. (a)-(b).)

The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence. (*Hotels Nevada v. L.A. Pacific Center, Inc.* (2006) 144 Cal.App.4th 754, 761.) The burden then shifts to the opposing party to prove by a preponderance of the evidence a defense to enforcement (e.g., fraud, unconscionability, etc.). (*Ibid.*) “In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court’s discretion, to reach a final determination.” (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.)

“If a court of competent jurisdiction. . . has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code Civ. Proc., § 1281.4.)

B.

Discussion

Moving Defendants seek to compel arbitration of Plaintiff’s claims and stay all further judicial proceedings in this action pending completion of arbitration.

1. Existence of an Arbitration Agreement

Moving Defendants contend Plaintiff entered into an arbitration agreement on December 7, 2023, when Plaintiff executed a written attorney-client Litigation Engagement Letter for Moving Defendants to legally represent Plaintiff in *Trinity Alps Farms, Inc., et al. v. Raquel Origel, et al.*, Case No. 23STCV30216 (“Underlying Action”). (Motion, at pp. 1-2; Mckinnon Decl., ¶ 3, Exh. A.) Moving Defendants provide evidence of such agreement and Plaintiff’s purported acceptance. (Mckinnon Decl., ¶

3, Exh. A.) The arbitration provision in the agreement provides, in relevant part, as follows:

“21.

ARBITRATION OF ALL DISPUTES, INCLUDING MALPRACTICE. The parties agree to binding arbitration, as follows:

(a) Any controversy between the parties regarding the construction, application or performance of any services under this Agreement, and any claim arising out of or relating to this Agreement or its breach shall be submitted to binding arbitration upon the written request of one party after the service of that request on the other party. [...] The cost of the arbitration, excluding legal fees and costs, shall be borne by the losing party or in such proportion as the arbitrator shall decide.

(b) Any dispute over Attorney's fees, charges, costs or expenses, Client and Attorney shall be submitted to binding arbitration upon the written request of any party after the service of that request on the other party. [...] A party's failure to timely respond acceptance to arbitrate shall be deemed a knowing waiver of the right to arbitrate, including those provided specifically to the Client refuses fee arbitration under this section, Client waives any counter-claim it might have regarding the construction, application or performance of any services under this Agreement and agrees that any such claims shall be bifurcated from the fee dispute and brought exclusively under (a) above.”

(Id., ¶ 21.)

The court finds that by providing a copy of the agreement evidencing Plaintiff's acceptance of the arbitration provision, Moving

Defendants met their initial burden in establishing the existence of an arbitration agreement. (Condee v. Longwood Mgmt. Corp., (2001) 88 Cal.App.4th 215, 218; Cal. Rules of Court, rule 3.1330.) The burden shifts to Plaintiff to challenge its validity. (Condee, supra, 88 Cal.App.4th at 219.)

2.

Unconscionability

In opposition, Plaintiff argues that the arbitration provision is unenforceable as it is procedurally and substantively unconscionable. (Opp., at pp. 3-5.)

An agreement is unenforceable if it is both procedurally and substantively unconscionable. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125; Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 910.) But procedural and substantive unconscionability need not be present in the same degree. (OTO, supra, 8 Cal.5th at 125.) Courts use a “sliding scale” approach—“the more substantively unconscionable the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz v. Found Health Psychcare Servs., Inc. (2000) 24 Cal.4th 83, 114.) Under general contract principles, unconscionability has both a procedural and substantive element, with the former focusing on oppression or surprise due to unequal bargaining power, and the latter focusing on overly harsh or one-sided rules (Armendariz, supra, 24 Cal.4th at 114.) Both procedural and substantive unconscionability must be present in order for a court to exercise its discretion to refuse to enforce a contract on the basis of unconscionability. (Stirlen v. Supercuts, Inc. (1997) 51 Cal.App.4th 1519, 1533.)

a.

Substantive Unconscionability

Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether the terms create overly harsh or one-sided results as to shock the conscience. (Suh v. Superior Court (2010) 181 Cal.App.4th 1504, 1515; Sanchez, supra, 61 Cal.4th at 910-911 [an “old-fashioned bad bargain” or a contract term which “merely gives one side a greater benefit” insufficient].)

Plaintiff argues that the arbitration cost-shifting provision included in the arbitration clause is unconscionable as it requires that Plaintiff bear arbitration costs that it would not incur in litigation and conditions Plaintiff’s access to arbitration on its willingness to risk paying the costs if it loses. (Opp., at pp. 3-4.)

The arbitration clause provides that “[t]he cost of the

arbitration, excluding legal fees and costs, shall be borne by the losing party or in such proportion as the arbitrator shall decide.” (Mckinnon Decl., ¶ 3, Exh. A, ¶ 21(a).) The court finds that the arbitration provision does not impose an unconscionable costs structure on Plaintiff as the obligation to pay arbitration costs equally burdens Moving Defendants if they were the losing party and provides discretion to the arbitrator to allocate arbitration costs in the alternative. Moreover, even if the cost-shifting provision was substantively unconscionable, the strong preference is to sever unconscionable terms rather than preclude the enforcement of arbitration agreement. (Magno v. College Network, Inc. (2016) 1 Cal.App.5th 277, 292.) The court could sever the cost-shifting provision and require Moving Defendants to bear all costs of arbitration. This would not render the arbitration agreement unenforceable.

Plaintiff also argues that Paragraph 21(b) is unconscionable as it provides that if a client refuses arbitration over a dispute as to the attorney’s fees, the client waives any counter-claim it might have regarding the construction, application or performance of any services under the agreement. (Opp., at p. 4; Mckinnon Decl., ¶ 3, Exh. A, ¶ 21(b).) Plaintiff contends that such provision is one sided as only the client forfeits substantive claims and not the attorney. (Ibid.)

The court first notes that Paragraph 21(b) is inapplicable to the arbitration of Plaintiff’s claims asserted in the instant action as they do not involve a dispute over Moving Defendants’ fees incurred for representing Plaintiff in the Underlying Action. Moreover, Paragraph 21(b) does not provide for an outright waiver of a client’s counter-claims but rather provides that “any such claims shall be bifurcated from the fee dispute and brought exclusively” under Paragraph 21(a). (Mckinnon Decl., ¶ 3, Exh. A, ¶ 21(b).) Accordingly, the court does not find that such provision to be unconscionable and, in fact, it is inapplicable. The court will not consider any further argument pertaining to Paragraph 21(b).

Overall, the arbitration provision has a low level of substantive unconscionability that may be remedied.

b.

Procedural Unconscionability

“Procedural unconscionability pertains to the making of the agreement; it focuses on the oppression that arises from unequal bargaining power and the surprise to the weaker party that results from hidden terms or the lack of informed choice.” (Ajamian v. CantorCO2e, L.P. (2012) 203 Cal.App.4th 771, 795.) Arbitration clauses are often found in adhesion contracts which are standardized contracts drafted by a party of superior bargaining power and presented to the weaker party on a take-it-or-leave-it basis. (Armendariz, supra, 24 Cal.4th at 113-114.)

Plaintiff argues that the arbitration agreement is procedurally unconscionable as the engagement letter is a contract of adhesion. (Opp., at p. 5.)

The mere fact an adhesion contract is involved does not per se render the arbitration provision unenforceable because such contracts are “an inevitable fact of life for all citizens—businessman and consumer alike.” (Graham v. Scissor-Tail, Inc. (1981) 28 Cal.3d 807, 817.) As Plaintiff concedes, the court finds that there is only a minimal degree of procedural unconscionability from the arbitration provision being in an adhesion contract. The arbitration provision does not have a sufficiently high degree of procedural unconscionability to render it invalid.

As a valid arbitration agreement exists and there is no dispute that Plaintiff’s claims fall within the arbitration scope, the motion is granted.

3.

Stay Request

If a party applies to a court “for an order to arbitrate a controversy which is an issue involved in an action or proceeding pending before a court of this State and such application is undetermined, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until the application for an order to arbitrate is determined and, if arbitration of such controversy is ordered, until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.” (Code of Civ. Proc., § 1281.4.)

Because the court has found that arbitration is warranted in this matter,

the court also stays the proceedings during the pendency of the arbitration process.

III.

ANTI-SLAPP MOTION

A. Legal Standard

A special motion to strike under Code of Civil Procedure section 425.16 allows a defendant to seek early dismissal of a lawsuit that qualifies as a strategic lawsuit against public participation ("SLAPP"). (*Nygard, Inc. v. Uusi-Kerttula* (2008) 159 Cal.App.4th 1027, 1035.) A SLAPP is "a cause of action against a person arising from any act of that person in furtherance of the person's right of petition or free speech under the United States Constitution or the California Constitution in connection." (Code Civ. Proc., § 425.16, subd. (b)(1).)

Code of

Civil Procedure section 425.16 posits a two-step process for determining whether an action is a SLAPP. (Code Civ. Proc., § 425.16.) Courts first decide whether the defendant has made a prima facie showing that the attacked claims arise from protected activity, including defendants' right of petition or free speech. (*Healy v. Tuscany Hills Landscape & Recreation Corp.* (2006) 137 Cal.App.4th 1, 5; *Soukup v. Law Offices of Herbert Hafif* (2006) 39 Cal.4th 260, 278; Code Civ. Proc., § 425.16, subd. (e).) If the defendant meets this initial burden, the burden shifts to the plaintiff to prove the plaintiff has a legally sufficient claim and to prove with admissible evidence a probability of prevailing on the claim. (*De Havilland v. FX Networks, LLC* (2018) 21 Cal.App.5th 845, 855.)

"Only a cause of action that satisfies both prongs of the anti-SLAPP statute—i.e., that arises from protected speech or petitioning and lacks even minimal merit—is a SLAPP, subject to being stricken under the statute." (*Navellier v. Sletten* (2002) 29 Cal. 4th 82, 89 [emphasis in original].)

B. Discussion

As an initial matter, the court finds that because arbitration was warranted and a

stay was entered pending the completion of arbitration, Moving Defendants' Anti-SLAPP Motion is moot for the court to consider.

Accordingly, the motion is denied as moot.

IV.

CONCLUSION

1. Defendants

Jeannette K. Witten and Gavin E. Kogan's Motion to Compel Arbitration and Stay Proceedings is GRANTED.

2. Defendants

Jeannette K. Witten and Gavin E. Kogan's Special Motion to Strike is DENIED as moot.